WEEK 1 · LECTURE L2 · UNIT II

Why Performance Management Is Being Reinvented

The evidence against the annual appraisal, the theories that explain its failure, and what leading firms did instead.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi

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AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain the measurement, motivation and relationship problems of annual appraisal.
- Evaluate the evidence on the idiosyncratic rater effect and forced distribution.
- Explain the forces behind the shift to continuous performance management.
- Compare four diagnoses of appraisal failure and the remedy each implies.

COURSE OUTCOMES

CLO 1 (design contemporary performance management systems) and CLO 2 (ground engagement strategy in evidence).

COMMIT BEFORE THEORY

Annual ratings fail because managers are bad at rating.

Agree or disagree. Then name one other reason a rating could be wrong.

THE MEASUREMENT PROBLEM

What a rating actually measures

SCULLEN, MOUNT AND GOFF (2000)

In large samples, about 62 percent of the variance in ratings reflected the rater, not the person rated.

BUCKINGHAM AND GOODALL (2015)

So a rating says more about the manager than the employee. Pay tied to it rewards the luck of the draw.

KEY POINT

This is the idiosyncratic rater effect: the largest single source of variance in a rating is the person giving it.

THE MOTIVATION PROBLEM

Raters are not inaccurate; they are motivated

MURPHY AND CLEVELAND (1995)

Rating is a goal directed act. Managers rate to keep the team calm, protect budgets and avoid conflict.

LONGENECKER, SIMS AND GIOIA (1987)

Executives admitted inflating and deflating ratings deliberately, for reasons unrelated to performance.

THE IMPLICATION

Training raters to see better will not help if their incentives push them to rate otherwise.

THE RELATIONSHIP PROBLEM · PULAKOS AND O'LEARY (2011)

Why performance management is broken

WRONG TARGET

Firms keep redesigning forms and software, but the failure lies in everyday manager and employee behavior.

RIGHT TARGET

Clear expectations, ongoing feedback and trust between manager and employee are where performance changes.

KEY POINT

The system is the relationship. A form cannot do what a conversation does not.

WHAT FIRMS DID

Three redesigns and the reasoning behind them

Firm	What changed	Stated reason
Adobe	Annual review replaced by ongoing check in conversations	Reviews consumed time and hurt morale
Microsoft	Stack ranking abandoned	Ranking set colleagues against one another
Deloitte	Ratings replaced by frequent performance snapshots	Close to 2 million hours a year were spent on ratings

Buckingham and Goodall (2015); Cappelli and Tavis (2016)

THEORY IN DEPTH · CAPPELLI AND TAVIS (2016)

Three forces behind the revolution

THE CORE IDEA

The annual appraisal was built for stable work and plentiful talent; neither condition holds today.

HOW IT WORKS

Development pays when talent is scarce; quarterly change makes annual goals stale; teamwork defeats individual ratings.

LIMITS AND CRITIQUE

A practitioner synthesis of firm cases, not a controlled test that the new systems perform better.

IN PRACTICE

An Indian IT services firm whose projects change every quarter finds annual goals outdated by midyear.

EXAM LENS

Use the three forces to explain why the shift happened. Its weakness: evidence that continuous systems work is still thin.

THEORY IN DEPTH · SCULLEN, BERGEY AND AIMAN-SMITH (2005)

Does ranking and removing the bottom work?

THE CORE IDEA

A simulation tested forced distribution with regular removal of the lowest rated employees.

HOW IT WORKS

Workforce potential rose in early years, but gains shrank sharply as the pool of weak performers was used up.

LIMITS AND CRITIQUE

A simulation, not field data; it ignored effects on cooperation, morale and who chooses to apply.

IN PRACTICE

A firm that fires its bottom 10 percent each year gains at first, then removes people who were merely unlucky in their rater.

EXAM LENS

Use it to show forced distribution has a diminishing return. Combine with Scullen et al. (2000) on rater error.

COMPARE AND EVALUATE

Why does appraisal fail? Four answers

Theory	Diagnosis	Remedy it implies
Measurement	Raters make errors	Better scales and rater training
Motivated rater	Raters choose to distort	Change raters' incentives
Relationship	Everyday behavior is missing	Build manager habits
System (Deming)	Results reflect the system	Stop rating individuals

EXAM LENS

A strong answer names more than one diagnosis and shows which remedy each supports. Most failures have several causes.

APPLY IT · ILLUSTRATIVE CASE

A manufacturer with inflated year end ratings

THE PATTERN

Ratings in the final quarter run well above earlier quarters, and almost no one is rated low.

RIVAL READINGS

Recency bias (measurement), protecting bonuses (motivation), or rare contact (relationship).

WHAT TO CHECK

Do ratings track documented events? Do managers who meet staff often rate differently?

EXAM TIP

An illustration for analysis, not a real firm. Test each diagnosis against evidence before recommending a fix.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"The annual appraisal fails because of measurement error." Critically evaluate using at least three explanations. **20 marks**

A strong answer: covers rater variance, motivated rating and the relationship view; uses Scullen et al., Murphy and Cleveland, Pulakos and O'Leary; concludes with a reasoned design.

Why have leading firms abandoned annual ratings? Evaluate whether an Indian manufacturer should follow them. **20 marks**

A strong answer: uses Cappelli and Tavis and Buckingham and Goodall; weighs context; addresses manager capability; notes thin evidence.

Explain the idiosyncratic rater effect and its implication for pay. **10 marks**

A strong answer: defines it; cites the 62 percent finding; explains why pay tied to ratings is unfair.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. A rating often measures the rater more than the person rated
2. Raters distort on purpose; training cannot fix incentives
3. The shift to continuous management rests on three forces: talent, agility, teamwork

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50.

HOW TO USE THESE

This is the Week 1 set reading. Read it now for the case against annual appraisal; you will reread it in Week 4 as a designer.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 3)

Works named on the slides of this lecture. They are background sources, not set readings.

Buckingham, M., & Goodall, A. (2015). Reinventing performance management. *Harvard Business Review, 93*(4), 40–50.

Cappelli, P., & Tavis, A. (2016). The performance management revolution. *Harvard Business Review, 94*(10), 58–67.

Deming, W. E. (1986). *Out of the crisis*. MIT Center for Advanced Engineering Study.

Longenecker, C. O., Sims, H. P., & Gioia, D. A. (1987). Behind the mask: The politics of employee appraisal. *Academy of Management Executive, 1*(3), 183–193. https://doi.org/10.5465/ame.1987.4275731

Sources for this lecture (2 of 3)

Murphy, K. R., & Cleveland, J. N. (1995). *Understanding performance appraisal: Social, organizational, and goal based perspectives*. Sage.

Pulakos, E. D., & O'Leary, R. S. (2011). Why is performance management broken? *Industrial and Organizational Psychology, 4*(2), 146–164. https://doi.org/10.1111/j.1754-9434.2011.01315.x

Scullen, S. E., Bergey, P. K., & Aiman-Smith, L. (2005). Forced distribution rating systems and the improvement of workforce potential: A baseline simulation. *Personnel Psychology, 58*(1), 1–32. https://doi.org/10.1111/j.1744-6570.2005.00361.x

Sources for this lecture (3 of 3)

Scullen, S. E., Mount, M. K., & Goff, M. (2000). Understanding the latent structure of job performance ratings. *Journal of Applied Psychology, 85*(6), 956–970. https://doi.org/10.1037/0021-9010.85.6.956